SiteGuard — neatHack 2026 financial model Planning simulation only · USD · October 2026–September 2027 · no actual revenue, funding, or supplier commitment asserted. Main Scenario is the base case. Proposed prices came from the brief; every volume, conversion, churn, site allowance, cost estimate, staffing choice, and starting cash amount is hypothetical. Enterprise is custom-priced and excluded from revenue until contracts exist.

Executive financial conclusion SiteGuard can be an attractive developer-tool business, but the proposed $9 / $29 / $99 prices do not support generous monitoring allowances under this draft architecture. The base case ends with 216.5 expected paying customers and $5,196 MRR; recognized first-year revenue is $26,671, cost of revenue $23,890, and operating expenses $37,564. First-year gross margin is 10.4%; final-month gross margin is 14.8%. Cash consumption is $34,784, before any safety reserve. No core growth case reaches operating break-even during these 12 months.

Recommendation: launch with strict usage limits and a lean staffing plan. The separately saved Guardrailed launch case keeps proposed prices and base growth unchanged, assumes average sites Free / Starter / Pro / Business of 1 / 1 / 3 / 10, checks every 60 / 15 / 5 / 5 minutes, and defers the $3,000 monthly staff budget. Contractor spend remains. It produces 63.7% first-year gross margin, 65.8% final-month margin, a maximum cash need of $8,763, and September operating profit of $188. With an assumed $15,000 opening balance it ends at $6,425 and never crosses zero during the forecast. These gains depend on customers accepting the tighter limits; the model does not claim conversion remains unchanged in reality.

Product scope and release gates Intended hackathon MVP, not independently verified as shipped: uptime monitoring; HTTP failure detection; incident creation; AI diagnosis; recommendations; controlled, authorized recovery; verification; incident history; Neatlogs agent observability.

Future commercial roadmap, not current functionality: production infrastructure connectors, automated deployment rollback, Slack/email notifications, multi-region checks, teams, and advanced analytics. Notification expense is a readiness allowance for commercial rollout, not

evidence these features work. Pricing assumes some usable commercial service launches in month 1; delay monetization if safe production integrations are not ready. Enterprise promises and SLAs are outside this forecast.

What makes the business viable 1. Measure real per-check and per-incident costs before launch. The model's infrastructure prices are estimates, not quotes. 2. Cap sites, check frequency, AI analyses, log retention, retry depth, and recovery attempts. Price additional sites and regions separately; never sell unlimited agent work at $9. 3. Gate autonomous recovery behind scoped credentials, explicit permission, an allowlist, audit logs, rollback capability, dry runs, and post-action verification. Keep diagnosis read-only when recovery cannot be proven safe. 4. Prioritize startups and agencies with costly downtime. Free users validate the product but must have a low-cost monitoring-only tier. 5. Do not hire against MRR alone. Check contribution, cash reserve, and funded commitments first. The unpaid-founder assumption is a cash subsidy, not proof of economic profitability. 6. Validate willingness to pay through 15–20 design-partner interviews, followed by a small paid pilot. Track retained paid accounts, site utilization, false alarms, support minutes, recovery success, and billable model tokens.

Model checks performed All 12 base-case months were independently recalculated and matched the saved model for account cohorts, revenue, infrastructure costs, staffing, and cash. Customer and cash bridges reconcile to numerical rounding. Scenario assumptions, six single-factor stresses, and the lean launch alternative are saved. Scale-adjusted break-even at September cost structure is 852 paying customers under steady-state free-user and replacement-acquisition assumptions; profit is positive at 852 and negative at 851. This is a steady-state calculation, not a forecast of reaching 852 accounts.

Hypothetical case	Exit paid accounts	Exit MRR	Year revenue	Year GM	Operating profit/(loss)
Conservative	36.7	$591	$3,563	-58.3%	($32,434)
Base	216.5	$5,196	$26,671	10.4%	($34,784)
Optimistic	948.8	$28,939	$130,679	24.6%	($26,468)
Guardrailed launch	216.5	$5,196	$26,671	63.7%	($8,575)

Assumptions, proposed pricing, and evidence Every input is editable. Pricing and usage policies are hypotheses, not commitments. Currency is USD solely for comparability; no company domicile, tax jurisdiction, or billing-provider selection was supplied. Customer segments are indie developers, early SaaS startups, small engineering teams, digital agencies, and SMBs; no unsupported segment sales split is asserted.

Pricing hypothesis Free $0; Starter $9; Pro $29; Business $99 monthly; Enterprise custom. Base paid acquisition mix is Starter 60%, Pro 30%, Business 10%, giving $24 weighted monthly ARPPU. Conservative mix is 75% / 22% / 3% ($16.10 ARPPU); optimistic mix is 45% / 40% / 15% ($30.50 ARPPU). Prices, mixes, active sites, cadence and AI eligibility live in the pricing table.

Baseline active sites per account are Free 1, Starter 3, Pro 10, Business 30; Free checks every 15 minutes and paid every 5 minutes. These are expected utilization assumptions for stress testing, not approved plan caps. Free has no AI diagnosis or autonomous recovery. Each paid account is assumed to have AI access. Guardrailed launch separately tests Free 1 site/hourly checks, Starter 1 site/15-minute checks, Pro 3 sites/5-minute checks, and Business 10 sites/5-minute checks. Convert any proposed allowances into explicit quotas and validate them before publication. Multi-region service, teams and SLAs require later pricing decisions.

Demand scenarios — not traction forecasts Conservative: 80 first-month signups, 5% monthly signup growth, 4% paid conversion, 7% paid churn, 20% free churn, $60 blended CAC.

Base: 150 first-month signups, 10% monthly growth, 8% paid conversion, 4% paid churn, 15% free churn, $40 blended CAC.

Optimistic: 300 first-month signups, 15% monthly growth, 12% paid conversion, 2.5% paid churn, 10% free churn, $30 blended CAC.

Signups include new paid and free accounts; conversion is applied at signup, not to the entire free installed base. Existing free users do not later upgrade in this simplified forecast. Prices and plan mix remain constant within a scenario; expansion, downgrades and discounts are excluded. CAC is a planning cost per acquired paid account, excluding founder sales time; acquisition spend = new paid accounts × CAC. This assumes an accessible signup funnel; spending itself does not cause signups. Organic/product-led acquisition plus spend is implicit. Lower conversion also lowers spend in this model; a fixed traffic budget would make that stress worse.

Public supplier evidence versus estimates Public reference rates reviewed October 12, 2026: OpenAI GPT-5 mini standard uncached input $0.25 and output $2.00 per million tokens; OpenAI GPT-5 input $1.25 and output $10.00 per million. These are comparison models, not selected vendors, guaranteed rates or hackathon credits. No caching/batch/free-credit saving is assumed. Billable output includes reasoning tokens where charged.

Stripe standard pricing provides a US domestic-card reference of 2.9% + $0.30 per transaction. Applicability is not established without geography and contract details. Subscription billing is modeled as an additional **unverified 0.7% planning allowance**, not a verified supplier charge. Cross-border, FX, disputes, refunds, tax software, minimums and provider-specific extras may add cost.

All hosting, database, jobs, monitoring, logging, observability, storage, notification, support and security-backup amounts are **author estimates**, including Neatlogs: no verified Neatlogs price is used. Do not add this model's abstract monitoring rate to a managed-monitor quote that already bundles the same execution and logging work. Replace categories with a non-overlapping bill of costs once architecture is chosen.

Staffing and cash assumptions Founders receive $0 cash pay throughout. Contractor budget is $1,500/month from January 2027 (month 4); staffing is an additional $3,000/month from June 2027 (month 9), assumed all-in but not a salary quote or compliant full-time employment budget. Other administration is $150/month. Security/backup hosting allowance is not a substitute for an external security review or legal liability protection. Opening cash alternatives are $5k/$15k/$30k; none asserts money exists. No debt, investment, grants, founder injections, capex or financing is assumed. Starting balances require confirmation before relying on runway.

Customer acquisition, retention, and revenue The cohort register contains 12 hypothetical acquisition cohorts, not real customers. Counts are expected values, so fractional customers are valid planning quantities and rounded only for presentation.

For month t: $signups_1$ = initial signups; $signups_t$ = $signups_{t-1}$ × (1 + signup growth). New paid = signups × paid conversion; new free = signups − new paid. Paid additions by plan = new paid × paid plan mix. Each cohort starts in its labeled month and retains (1 − monthly churn) of its prior month’s accounts. Ending customers = sum of surviving cohorts. The bridge is opening + new − churned = ending.

Monthly revenue = Σ average active accounts by plan × monthly price. Average accounts = (opening + ending)/2: acquisition and churn occur evenly through the month, with prorated charges/refunds approximated at the same basis. Exit MRR = Σ ending paid accounts × price. This explains why final-month revenue is below final-month exit MRR. Monitoring and incident usage follow average active accounts. Churn applies to opening accounts; new accounts do not churn until the following month.

Billing and collections are simplified to same-month, net prorated subscription revenue with no bad debt, receivables, annual prepay or deferred revenue. Processing percentage applies to revenue; fixed invoice fees apply to ending paid accounts as an invoice-count approximation. Actual renewal dates, failed charges and refund policy can change this. Annual cash ≠ annualized exit MRR. No enterprise customers, expansion revenue or setup fees are included.

Free users are a separately modeled population with real infrastructure load. Free attrition means sites cease active monitoring, not just inactive logins. Unlimited lifetime free monitoring would create a much larger burden. Monitor dormancy and offboard unused checks explicitly.

AI diagnosis and infrastructure cost model ## Incident-driven inference — not an AI call per check Unique incidents per website month = 0.4; 60% require AI; paid accounts are eligible, Free is not. Assume 6,000 input and 1,000 billable output tokens per attempt, including billed reasoning where relevant. Attempts per diagnosis = 1.2 (20% expected extra calls). Tool execution allowance = $0.01/attempt. Routing mix = 90% lightweight / 10% advanced. All volumes and execution allowances are hypothetical.

Token cost per attempt = (input tokens × input $/million + output tokens × output $/million)/ 1,000,000. Lightweight: $0.0035/attempt and $0.0042 tokens/diagnosis after retries; advanced: $0.0175/attempt and $0.0210 after retries. Tools add $0.012/diagnosis. Total diagnosis cost = **$0.0162 lightweight / $0.0330 advanced**, excluding routine monitoring, base platform, support and remediation risks. Blended token cost = $0.00588/diagnosis; blended tool-inclusive cost = $0.01788. Read the separate comparison table for full-light versus full-advanced monthly expense.

Checks = average active websites × calendar days × 1,440 / check interval minutes × monitoring multiplier. Websites = active accounts × average sites per account. Incident volumes are deduplicated incidents, not every failed HTTP response; otherwise repeated failures would create an AI alert storm.

Fixed service cost — $100/month assumed Database $25; application $20; jobs $10; observability $15; logging/storage $10; notification readiness $5; security/backups $15. These are minimum-capacity budgets, not provider prices.

Variable service cost — unverified usage rates Per 1,000 checks: monitoring/network execution $0.08; application $0.03; background jobs $0.02; database $0.01; observability $0.015; logging $0.015. Combined $0.17/1,000 checks. Categories are assumed distinct resources, not six verified supplier bills. At 5-minute cadence, one website generates 8,640 checks in a 30-day month and $1.47 of these costs. Retained storage assumes a steady-state 0.02 GB/site at $0.10/GB/month; explicit retention caps are required. Notifications assume two deliveries/incident at $0.001 each, excluding SMS. Service support is $0.50 per paid account/month, a thin allowance that must be measured.

Capacity scaling adds $100/month per extra 500 average active websites above the first 500: max(0, ceil(websites/500) − 1) × $100. This is an estimated step-function capacity reserve, not a benchmark. Faster cadence raises usage charges but not the modeled site-capacity reserve; real worker/concurrency scaling could make that stress worse. Multi-region costs are not included because they are roadmap capabilities.

Base first-year expense composition AI tokens $12; AI execution $25; monitoring $8,292; application usage $3,109; background jobs $2,073; database usage $1,036; observability usage $1,555; logging usage $1,555; retained storage $36; notifications $15; card processing $1,139; billing software allowance $187; support $556; fixed infrastructure $1,200; scale capacity $3,100. Total cost of revenue $23,890, with rounding. Monitoring-related workloads dominate inference at these incident assumptions.

AI and infrastructure risks Long prompts, reasoning-heavy outputs, repeated tool loops, model routing errors and recovery verification can multiply cost. Enforce token/step/time budgets, retry caps, circuit breakers, incident deduplication and escalation to a human. Do not assume lightweight models can safely replace advanced diagnosis without accuracy and safety tests. Neatlogs integration does not prove monitoring safety or provide free production capacity. Egress, third-party tool charges and incident-specific human response are not separately evidenced and may require additional allowances.

Twelve-month financial forecast All periods shown are forecasts, not company actuals. The workspace close boundary is September 30, 2026; SiteGuard opens the forecast with zero customers because it is pre-revenue. No historical activity is invented.

Revenue is the monthly subscription schedule. Gross profit = revenue − cost of revenue; gross margin = gross profit / revenue. Cost of revenue includes both paid and free usage, fixed platform hosting, estimated capacity steps, processing, billing and service support. Operating expenses are acquisition spending, contractors, incremental staffing, founder cash pay and administration. Operating profit = gross profit − operating expenses.

Net cash flow equals operating profit under a deliberately simple cash basis: no capex, debt, taxes, receivables, payables or financing. This is not an audited P&L, balance sheet or tax forecast. Staffing and cost allowances must be replaced with commitments when known. Cash balance = assumed starting cash + cumulative net cash flow; negative balances remain visible as financing gaps, not runnable operations. Assumed funding remains zero.

Base forecast: first-year revenue $26,671; cost of revenue $23,890; gross profit $2,781; operating expenses $37,564; operating loss/cash consumption $34,784. Average monthly burn is $2,899; it is not constant. Final-month revenue is $4,876, operating expenses $6,019, and burn $5,297. Exit MRR is $5,196 and annualized exit recurring revenue $62,349; neither is first-year earned revenue. Staffing increases explain the sharp cash deterioration in June.

Base case monthly forecast — USD

Month	Revenue	Service costs	Operating expense	Net cash flow	Cash from $15k
2026-10	$144	$218	$630	($704)	$14,296
2026-11	$441	$444	$678	($681)	$13,614
2026-12	$756	$798	$731	($773)	$12,841
2027-01	$1,091	$1,052	$2,289	($2,249)	$10,592
2027-02	$1,450	$1,320	$2,353	($2,223)	$8,370
2027-03	$1,835	$1,699	$2,423	($2,287)	$6,083
2027-04	$2,249	$2,048	$2,500	($2,300)	$3,783
2027-05	$2,694	$2,416	$2,585	($2,307)	$1,476
2027-06	$3,176	$2,790	$5,679	($5,293)	($3,817)
2027-07	$3,697	$3,227	$5,782	($5,312)	($9,129)

Month	Revenue	Service costs	Operating expense	Net cash flow	Cash from $15k
2027-08	$4,262	$3,725	$5,895	($5,358)	($14,487)
2027-09	$4,876	$4,153	$6,019	($5,297)	($19,784)

Unit economics, lifetime value, and break-even ARPPU is revenue per paying account; ARPU also includes free accounts. Costs per paying account fully load the free population, shared fixed infrastructure and scale steps. This prevents an attractive paid-only margin from hiding free-tier losses.

Base September: ARPPU $24.00; all-account ARPU $2.75; cost of revenue per average paying account $20.44; gross profit per paying account $3.56; gross margin 14.8%. Paid-tier variable gross margins before free/fixed/scale allocations are approximately Starter 38.1%, Pro 42.7%, Business 50.8% at assumed use. These are not SaaS-level margins to advertise.

Blended CAC = $40 assumed. Simple customer lifetime = 1 / monthly paid churn = 25 months. Fully loaded LTV = current-month gross profit per paying account / churn, about $89; LTV/CAC approximately 2.22x. Fully loaded CAC payback is about 11.2 months. LTV/payback are meaningful only when contribution is positive; blank outputs in loss-making cases mean no meaningful positive lifetime economics, not zero-cost acquisition.

A separate retention-adjusted contribution LTV excludes fixed and capacity costs but includes a steady-state free population. Steady free/paid ratio = ((1 − conversion) / free churn) / (conversion / paid churn), about 3.07. Contribution before replacement acquisition = ARPPU − paid variable cost/account − free/paid ratio × free variable cost/account. Contribution LTV/CAC is about 5.81x, but the fully loaded result is the tougher cash test. Neither LTV includes discounting, cohort changes, expansion or customer success labor above the support allowance. Retention is assumed, not measured.

Break-even calculation Steady-state recurring contribution also deducts replacement CAC: paid churn × CAC = $1.60 per paying account/month. At September cadence the resulting contribution is $7.69/account/month. Fixed operating/service costs = database/platform floor + contractor + staffing + founder + administration. The model solves customer count while re-evaluating capacity steps at that count. Required average websites/paid account also includes the steady-state free burden.

With September staffing, **852 steady paying accounts** cover modeled costs (roughly $20,448 MRR). Calculated profit at 852 is $5.59/month versus a $2.11 loss at 851. The iteration residual is zero. The separate estimate using today’s infrastructure tier understates scale requirements and is not the final answer. Growth acquisition above churn replacement, shifts in plan mix, worsening support, incident storms, tax, founder compensation and more regions raise break-even. None of the conservative/base/optimistic growth forecasts achieves operating break-even within the 12-month window, even if a case’s exit subscriber count exceeds this base steady-state threshold: rapid acquisition spending and its own cost mix still matter.

Cash runway — assumed balances, no fundraising

Starting cash alternatives are $5,000 / $15,000 / $30,000, not reported bank balances. Revenue collections and expenses occur in their forecast month. The model carries negative cash to show the financing gap; actual operations must pause, cut costs or obtain funding before cash runs out.

Base first end-of-month cash crossing at or below zero: $5k in February 2027 (month 5), $15k in June 2027 (month 9), $30k in September 2027 (month 12). These mean 4 / 8 / 11 full forecast months remain cash-positive, not precise day-level runway. Cash could run out within the crossing month. The $2k safety buffer is breached earlier: January / May / August respectively. Use the monthly projection, not starting cash divided by one month’s burn.

Conservative crosses zero in February / June / September respectively. Optimistic crosses in January / June / not during the 12-month horizon for the same three cash balances. Optimistic acquisition consumes cash faster early; strong signups are not automatically better runway.

Guardrailed launch crosses zero in March with $5k. With $15k or $30k it does not cross within the forecast; minimum balances are $6,237 and $21,237 respectively. Do not extrapolate beyond September 2027 without extending the assumptions and forecast.

Base maximum cash need is $34,784 before a reserve; preserving the illustrative $2k buffer calls for approximately $36,784 of total opening liquidity or equivalent operating improvements. This is a conditional cash requirement, not a funding recommendation or a claim that funding is available. Founder pay, external legal/security reviews, and recovery-related liability could materially increase it.

Single-factor sensitivity tests All tests inherit the base case and change one input only. The saved comparison shows values and changes versus base. These are hypothetical stresses, not probabilities.

Base first-year cash use $34,784 and exit MRR $5,196.

• AI token prices double: cash use increases by only $12 to $34,796. Tool execution, monitoring and infrastructure do not double. This isolates model-token pricing rather than all AI-adjacent costs.
• CAC rises 50% ($40 → $60): cash use increases $5,132 to $39,916; revenue unchanged. Demand is exogenous, so this test asks what the same customer growth costs at a worse CAC.
• Paid conversion falls 25% (8% → 6%): exit MRR falls to $3,897 and annual gross margin to 1.1%; cash use is $34,773. The nearly unchanged cash use is not reassuring: revenue falls, but this model also reduces acquisition spend and paid service loads. A fixed traffic budget would worsen burn.
• Monitoring frequency rises 5x: paid checks move from 5 minutes to 1 minute and Free from 15 to 3 minutes. Cash use rises by $70,480 to $105,264; exit gross margin is −239.1%. This does not assume extra revenue or extra capacity-step costs; true concurrency bottlenecks could add more.
• Incident volume triples (0.4 → 1.2/site/month): cash use increases $103 to $34,887. This excludes additional human incident-response staffing and can understate a real outage storm’s cost.
• Paid monthly churn rises 2 percentage points (4% → 6%): exit MRR falls to $4,793; cash use rises $665 to $35,449; fully loaded exit LTV/CAC falls to 1.24x.

Decisions and major risks Monitoring frequency and site allowances are the largest modeled economic levers, followed by staffing and acquisition efficiency. Validate cheap-plan demand and willingness to pay before assuming customers accept caps. Track free-tier dormancy and costs; inactive free sites must not remain on permanently. Logging each check without sampling can create database/observability spend beyond these estimates. Multi-region expansion multiplies checks; retention and credential audits require explicit capacity budgets.

Autonomous recovery creates security and liability exposure outside simple token economics. Wrong interventions, stale credentials, noisy failure detection and third-party API rate limits can consume cash and destroy trust. An explicit human-escalation path and narrowly scoped authorization are commercial prerequisites. No insured liability limit, production security certification, guaranteed supplier credit or investor funding is assumed.

Single-factor cash impact — year total

Stress	Cash use	Change vs base
AI 2x	$34,796	$12
CAC +50%	$39,916	$5,132
conversion -25%	$34,773	($10)
monitoring 5x	$105,264	$70,480
incidents 3x	$34,887	$103
churn +2pp	$35,449	$665